

Lecture 6: Institutions and Institutionalisms (AUW)

Political Science — Master Notes · by Jakob V. Stangel

Required reading: Hall & Taylor (1996), *Political Science and the Three New Institutionalisms* · Busemeyer & Thelen (2020), *Institutional Sources of Business Power* (an HI example)

Theme of the lecture: the role of **institutions and structures** in political processes — how institutions shape the behaviour of political actors, and what drives institutional **change vs continuity** — focusing on the **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** variants of **New Institutionalism** (with path dependence and institutional legacies as central concepts).

Lecture frame (AUW) — the essentials before the three schools

Core: institutions ≠ organizations. Institutions are the **rules/norms that enable or constrain actors**; organizations are **groups of actors**. (*Ayca's example: the Social Democratic Party is an organization; the constitutional & legal rules, its internal statutes, and the unwritten norms governing it — e.g. can an MP defy the leadership and keep their job? — are institutions.*)

- **The debate it settles: structure vs agency** — *what explains a political outcome?* New Institutionalism is the "revised" answer (behavioralism → institutionalist critique → New Institutionalism): **institutions structure outcomes**.
- **Why study institutions?** They have **profound political consequences** — e.g. electoral system → party system (majoritarian → two-party; PR → multiparty — Lectures 4–5); parental-benefit design → labour-market gender equality.
- **The definition of "institution" widens across the three schools** — this is the key organising idea:

School	What counts as an institution
RCI (narrowest)	"Rules of the game" — constitutions, laws, regulations, court decisions
HI (middle)	The above + procedures, routines, norms, conventions (how things are done; SOPs)
SI (broadest)	All the above + symbol systems, cognitive scripts, moral/discursive templates — <u>"frames of meaning"</u> (role of the state, national identity, patriarchy, institutional racism...)

Hall & Taylor (1996) — The Three New Institutionalisms

Chapter résumé

Hall & Taylor show that "the new institutionalism" is **not one theory but three** — **rational-choice (RCI)**, **historical (HI)**, and **sociological (SI)** institutionalism — which arose in the 1980s–90s (all reacting against 1960s–70s **behavioralism**) yet developed **independently**, "paint quite different pictures

of the political world," and rarely cited each other. They compare the three on **two questions fundamental to any institutional analysis: (1) how institutions relate to behaviour, and (2) how institutions originate and change**. Their verdict: none is wrong — each captures a **partial truth** — so they call for **cross-fertilisation**.

★ **The heart of the reading:** three schools answer the same question — *how do institutions shape political behaviour and outcomes?* — very differently. **RCI:** institutions are rules that structure **strategic interaction** among fixed-preference utility-maximisers ("calculus"). **HI:** institutions distribute **power** unevenly and lock in **paths** over time (eclectic). **SI:** institutions are **cultural frames of meaning** that constitute actors' very identities and preferences ("cultural"). The exam task: fill in the comparison table and use it to build *three competing explanations* for one outcome.

The red thread. Everything reduces to **two cross-cutting approaches** (Hall & Taylor's own device): the **calculus approach** (actors strategically maximise; institutions give certainty about others' behaviour; persist as a Nash equilibrium) vs the **cultural approach** (actors interpret via worldviews; institutions provide moral/cognitive templates; persist because **taken-for-granted**). **RCI = pure calculus · SI = pure cultural · HI = both**. For any theory ask: *calculus or cultural — and how does that answer "how do actors behave / what do institutions do / why do they persist"?*

Key concepts / "modes" to use

- The three schools: **RCI · HI · SI** (+ the widening definition of "institution").
- **Calculus vs cultural approaches** — the master framework for *how institutions affect behaviour*.
- **RCI toolkit:** strategic interaction · collective-action dilemmas · gains from exchange · Nash equilibrium.
- **HI toolkit:** power asymmetries · path dependence · critical junctures · unintended consequences.
- **SI toolkit:** frames of meaning · logic of appropriateness · isomorphism · legitimacy.

Section-by-section main points

The two archetypes — calculus vs cultural

Core: any institutionalism must answer three questions — *how do actors behave? what do institutions do? why do they persist?* — and there are two archetypal answer-sets.

	Calculus approach (→ RCI)	Cultural approach (→ SI)
How do actors behave?	Instrumental, strategic utility-maximisers ; preferences given exogenously	Behaviour bounded by a worldview ; satisficers ; choice depends on <i>interpretation</i>
What do institutions do?	Provide certainty about others (information, enforcement); shape expectations	Provide moral/cognitive templates ; shape identities & preferences themselves
Why do they persist?	They're a <u>Nash equilibrium</u> — deviating makes you worse off	Taken-for-granted ; one actor can't change a collective convention

HI is eclectic — it uses *both*.

★ The three institutionalisms compared (*the exam table — from the screenshot*)

Core: memorise this. To answer "why did outcome X happen?", read *across a row* for three competing explanations.

Dimension	Rational Choice (RCI)	Historical (HI)	Sociological (SI)
Definition of institutions	Rules/procedures that structure strategic interaction (narrow)	Formal/informal procedures, routines, norms, conventions embedded in the polity/economy (tied to organizations)	Symbol systems, cognitive scripts, moral templates — "frames of meaning" (dissolves the institution/culture line)
Example they study	US Congress (committees, rules of procedure)	Cross-national public policy (welfare states, labour, corporatism)	Organizational forms & their diffusion (why education ministries worldwide look alike)
Institutions ↔ behaviour	Calculus	Eclectic (both)	Cultural
How do actors behave?	Fixed exogenous preferences ; instrumental, strategic maximisers	Both strategic <i>and</i> worldview-shaped (strategies can ossify into worldviews)	Socially-constituted interpreters; " logic of appropriateness " — what's "rational" is itself socially constituted
What do institutions do?	Structure strategic interaction; provide info/enforcement → reduce uncertainty, enable gains from exchange ; solve collective-action problems	Structure conflict — privilege some interests, demobilise others; distribute power unevenly	Confer meaning & legitimacy ; constitute actors' identities & preferences
Why do they persist?	They're a Nash equilibrium (deviation costs you)	Path dependence — groups develop interests "costly to shift"	Taken-for-granted ; can't be changed by one individual
How/why do they change?	Deductive; voluntary agreement / competitive selection (<i>weak on change</i> — the "equilibrium paradox")	Critical junctures (crisis/war) → branching points ; otherwise path-dependent	Adopt new templates for legitimacy (not efficiency); borrowing/diffusion ; can even be <i>dysfunctional</i>
Particular focus	Strategic interaction; collective-action dilemmas; gains from exchange	Power asymmetries ; path dependence ; unintended consequences ; ideas	Legitimacy ; culture ; isomorphism
Key concepts	transaction costs, principal–agent, Nash equilibrium, gains from exchange	path dependence, critical junctures, unintended consequences , "mobilization of bias"	frames of meaning, cognitive scripts, logic of appropriateness , isomorphism
Hall & Taylor's critique	Thin/"simplistic" motivation ; exogenous preferences; functionalist origins	Vague on the precise causal mechanism ; too inductive	"Bloodless" ; "action without agents" ; misses power

Rational Choice Institutionalism (RCI) — the "calculus" school

Core: institutions are **rules that structure strategic interaction** among rational, fixed-preference utility-maximisers; they persist because they're an **equilibrium** and are created to **capture gains from cooperation**.

- Borrows the "new economics of organization" (transaction costs, property rights, principal-agent). Politics = a series of **collective-action dilemmas** (prisoner's dilemma, tragedy of the commons); institutions solve them by providing **information + enforcement**.
- **Exemplars:** US Congress studies — **Shepsle, Weingast**; **Ostrom** on common-pool resources; **North** on economic institutions.
- **Best at:** precise, generalisable theory; explaining **why institutions persist**. **Weak at:** origins/change — its explanations are **functionalist** (deduce origins from consequences — but you can't, because of unintended consequences), **intentionalist**, **voluntarist** (understates power); and the **equilibrium paradox** (if the status quo is already a Nash equilibrium, why would anyone agree to change it?).

Historical Institutionalism (HI) — power + path dependence

Core: institutions **distribute power unevenly** ("structure conflict to privilege some, demobilise others") and, once set, lock national development onto **paths** that are costly to reverse — change comes at **critical junctures**.

- Definition sits in the middle (procedures/routines/norms embedded in organizations); **eclectic** on behaviour (both calculus & cultural, integrating **ideas**). History = **long continuity punctuated by critical junctures** (triggered by crisis/war) that create **branching points**; between them, path dependence + unintended consequences dominate.
- **Exemplars:** **Immergut** (health-care reform), **Steinmo** (tax policy), **Hattam** (US labour), **Skocpol** (welfare states & state capacities); **Thelen** (how institutions evolve).
- **The most "commodious"** and realistic school, and the **pivot** between RCI and SI. **Weak at:** specifying the exact causal mechanism; too inductive to build systematic theory. (*This is the school Busemeyer & Thelen exemplify — see below.*)

Sociological Institutionalism (SI) — culture & legitimacy

Core: institutions are **cultural frames of meaning** (symbols, scripts, templates) that don't just constrain behaviour but **constitute actors' identities and preferences**; organizations adopt practices for **legitimacy**, not efficiency.

- Dissolves the **institution/culture** boundary (a "cognitive turn"). Actors follow a "logic of appropriateness" (what's socially appropriate), not pure calculation. Explains **isomorphism** — why organizations in a field converge on the same forms "regardless of local conditions," even when **dysfunctional**.
- **Exemplars:** **Meyer & Rowan** ("myth & ceremony"), **DiMaggio & Powell** (isomorphism / the "organizational field"), **March & Olsen** (logic of appropriateness), **Dobbin**, **Fligstein**, **Soysal**.
- **Best at:** meaning, legitimacy, identity, and the inefficiencies RCI can't explain (the "waiting at a red light with no one around" point). **Weak at:** power & agency — "curiously **bloodless**," can look like "action without agents."

Change vs continuity — each school's answer (AUW's deck; the Brexit test)

Core: take one outcome (e.g. Brexit) and give **three competing explanations** — one per school.



How to read it (the Brexit outcome the three schools explain). The 2016 referendum: **72.2%** turnout, **51.9% Leave vs 48.1% Remain** — razor-thin — with the district map showing a **geographic split** (Scotland, London & N. Ireland Remain-blue; most of England & Wales Leave-pink). This single result is the *explanandum*: **RCI** reads it as actors' cost-benefit calculus and interests, **HI** as path dependence hitting a critical juncture, **SI** as a clash of identities/paradigms — same fact, three lenses.

School	Explains CHANGE by...	Explains CONTINUITY by...
RCI	disrupted equilibrium; actors' interests (utility-max, cost-benefit); strategic action; few veto players (or in agreement)	policy equilibrium ; many veto players (or in disagreement)
HI	critical junctures ; <u>unintended consequences</u> ; powerful agenda-setters ; institutional inertia	<u>path dependence</u> ; policy lock-in ; institutional power vested in key actors
SI	societal shifts (materialism→post-materialism); a new economic paradigm (Keynesianism→neoliberalism); IR shift (multilateral→unilateral)	deep taken-for-granted structures; national identities ; nested power structures

Hall & Taylor's conclusion — cross-fertilise

Core: each school reveals a **genuine but partial** dimension of behaviour, so they should **borrow from each other** rather than stay in isolation.

- Who does what: **RCI** = precision & persistence (weak on motivation/change); **HI** = power & history (weak on mechanism); **SI** = meaning & legitimacy (weak on power/agency). HI is the **bridge** — its arguments translate into RCI terms yet open toward SI (actors pick institutions strategically, but "from a menu made historically available").
- Emerging syntheses they cite:** **Kreps** (corporate culture as an efficient supplement to monitoring); **Garrett & Weingast** (norms/ideas as "**focal points**" that select among multiple equilibria); **Scharpf** ("decision rules" [incentives] + "decision styles" [beliefs about appropriate behaviour]); **Bates &**

Weingast (strategic interaction as **signalling games** needing cultural context). (*Caveat: they don't claim a full synthesis is yet possible — "there is much to be said for tenacious debate."*)

Key terms

Term	Meaning
Institution vs organization	Rules/norms that constrain actors vs groups of actors
Calculus vs cultural approach	Strategic maximising vs interpretation-by-worldview
RCI / HI / SI	Rational-choice / historical / sociological institutionalism
Nash equilibrium	Why institutions persist for RCI (deviation costs you)
Collective-action dilemma	Individually rational, collectively bad (RCI's image of politics)
Path dependence	Past choices lock development onto costly-to-reverse paths (HI)
Critical juncture / branching point	Crisis moment when big institutional change sets a new path (HI)
Unintended consequences	Ubiquitous — why you "can't deduce origins from consequences"
Mobilization of bias	Institutions distribute power unevenly (HI)
Logic of appropriateness	Act on what's socially appropriate, not calculation (SI)
Isomorphism	Organizations in a field converge on the same form (SI)
Frames of meaning	Symbol systems/scripts that constitute action (SI's institutions)

Exam pointers

- Reproduce the **RCI/HI/SI comparison table** — the exam's whole point (Ayca's table).
- Nail **institution** ≠ **organization** and the **widening definition** (RCI rules → SI frames of meaning).
- Use the **calculus vs cultural** distinction to explain *how* each school links institutions to behaviour.
- Run the **change-vs-continuity table** on one outcome (Brexit): **three competing explanations** (RCI equilibrium/interests • HI critical juncture/path dependence • SI paradigm/identity shift).
- Know each school's **signature critique** (RCI thin motivation • HI vague mechanism • SI bloodless/no power).

Busemeyer & Thelen (2020) — Institutional Sources of Business Power (*an HI example*)

Chapter résumé

An exemplary **Historical-Institutionalist study**: where does **business power** come from? The standard split is **structural** power (business's privileged position as investor — the exit/investment

threat) vs **instrumental** power (lobbying, donations). Busemeyer & Thelen add a third, **institutional business power** — power that "results when state actors **delegate public functions to private business actors**" and, "over time, through **policy feedback and lock-in effects**," produces an **asymmetrical dependence of the state on business**. They prove it in **education/skill formation** (a "quintessentially public" area where you'd *least* expect business power) across **Germany, Sweden, and the USA**.

★ **The heart of the reading:** business power isn't a fixed feature of capitalism — it's **built by institutions over time**. Once the state hands parts of a public service to private actors, **policy feedback + lock-in** make the state **dependent** on them and the change **near-impossible to reverse**. This is *classic HI*: **power asymmetries compounding through path dependence**.

Section-by-section main points

The argument — a third kind of business power

Core: to structural + instrumental power, add **institutional business power** — endogenous to **past policy-design choices**, not a generic feature of capitalism.

- **Three types:** **structural** (investor's exit threat — Lindblom) · **instrumental** (lobbying/donations) · **institutional** (entrenched role in delivering a **public function**). They act as "**communicating vessels**."
- **Two conditions** set how strong institutional power is: **(1) the credibility of business's exit threat** and **(2) the depth of state dependence** (has the state lost the capacity to provide the service itself?). Both high → power strongest.
- Once entrenched, institutional power grants business insider "**quiet politics**" access (Culpepper) — so it needs far less *overt* lobbying. The three cases are deliberately "**most different**" (Esping-Andersen's three welfare worlds × Hall & Soskice's *varieties of capitalism*) to show a **common dynamic despite maximally different systems**.

Three mechanisms → three countries

Core: the *same* dynamic (state shares a public function → feedback entrenches business → lock-in) plays out three ways across maximally different systems.

Country	Mechanism	What happened
Germany	Delegation	state consciously shares regulatory space with employers (dual apprenticeship training)
Sweden	Deregulation	state retreats from provision (school vouchers / for-profit "free schools")
USA	Accretion	private actors <i>invite themselves in</i> (venture philanthropy, charter schools)

- **Germany — Delegation (dual vocational training).** Firm-based apprenticeships rest on **employer voluntarism** (~500,000 youths/year, ≈ the number entering university). **Highest** institutional power: both state dependence *and* exit threat are high. Twice (**1970s; red-green 1998**) governments

floated a statist **training levy** + school-based alternative; both times employers threatened to cut training places and the government **backed down** — and by the 2000s **unions & Social Democrats had reversed** to defending firm-based training (preference **conversion via feedback**). → *Delegation + lock-in + preference change = HI.*

- **Sweden — Deregulation (school vouchers).** Early-1990s reforms broke a near-total **public monopoly**; public money now funds private "independent" schools. By 2014 **ten corporations held 30% of the market** (biggest: AcadeMedia, owned by VC firm EQT); ~85% of voucher schools are **for-profit** — a "welfare-industrial complex." The **2016 Reepalu** profit-cap proposal died after providers threatened to shut down; Reepalu himself: "*we'd be in an easier situation if this had been introduced twenty years ago*" (**lock-in spoken aloud**). → *Deregulation + self-reinforcing feedback (even unions flipped pro-privatisation).*
- **USA — Accretion (venture philanthropy & charters).** Wealthy donors (Gates, Broad, Walton) "invite themselves" into education, funding charter schools/CMOs. **High exit threat, lower state dependence** (private funds *supplement*). Charters ≈6% of US enrolment but **~95% in post-Katrina New Orleans**; Gates ranked the **most influential individual in US education policy** — **ahead of the Secretary of Education**. In the 2014 de Blasio vs **Eva Moskowitz** fight, Walton-funded groups bused parents to Albany and Gov. Cuomo vowed "*We will save charter schools!*" → *Accretion — instrumental power converting into entrenched institutional power.*

Why it's HI — and how RCI/SI would differ

- **HI hallmarks:** **power** runs through the whole study (asymmetric state↔business dependence tilting "over time"); **historical legacies** (each country a longitudinal narrative); **path dependence & lock-in** ("reclaiming lost territory becomes more difficult over time"); **policy feedback; critical junctures** (German 1982 government change; **Hurricane Katrina** enabling New Orleans's charterisation).
- **RCI would say:** business power = a credible **exit/holdup threat** in a principal–agent game; delegation persists because it's **efficient** (lowers state costs) — but static RCI misses the *temporal tilt* and the change in actors' preferences.
- **SI would say:** private provision spreads because it becomes **legitimate/taken-for-granted** (Germans see employer involvement as "an asset"; Swedes internalise "free choice"; Gates's role "taken for granted") — an NPM/"choice" **template diffusing** (isomorphism) — but SI under-weights the raw **power** the authors foreground.

Exam pointers

- Use this as your **worked HI example**: name the mechanism per country (**Delegation/Germany · Deregulation/Sweden · Accretion/US**) and show **power + path dependence + lock-in**.
 - Define **institutional business power** vs structural vs instrumental, and its **two conditions** (exit threat + state dependence).
 - Be ready to **re-explain the same outcome in RCI and SI terms** (Ayca's exercise).
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Informal institutions (*AUW coda*)

Core: informal institutions = the "informal rules of the game" — "*socially shared rules, usually unwritten, created, communicated and enforced outside officially sanctioned channels.*" They can matter as much as formal ones (esp. in weak states) — and are **not necessarily undemocratic**.

- **Examples:** *dedazo* ("big finger", Mexico — the outgoing PRI president secretly picks his successor) · *amakudari* ("descent from heaven", Japan — retired bureaucrats get corporate jobs) · **clientelism** (Peronist Argentina). *Not* undemocratic: the **folkways of the US Senate** (Matthews 1959 — apprenticeship, courtesy, reciprocity, specialisation); pre-Erdoğan Turkish university-rector elections.

★ Fun facts & memorable details

Sticky bits from Lecture 6 (institutions & institutionalisms).

Quotable

- The framing line: "*political science today is confronted with not one but three 'new institutionalisms.'*"
- **SI's best point** (why we're not just calculators): "*anyone who has waited at a traffic light when no one else was around*" has to admit institutions work non-instrumentally too.
- **RCI's key logical error** (Hall & Taylor): "*one cannot safely deduce origins from consequences*" — because unintended consequences are everywhere.
- SI critique in three words: "*action without agents.*"
- **Reepalu (Sweden):** "*We'd be in a somewhat easier situation if much of what we're proposing had been introduced some twenty years ago*" — path dependence, out loud.
- **Cuomo (US):** "*We will save charter schools!*"

Memorable

- The three schools "developed **quite independently of each other**," each "assiduously burnishing its own paradigm" — a paper about theories that ignored each other.
- **Germany:** ~500,000 start firm-based apprenticeships each year — about the same as start university.
- **New Orleans** after Katrina: ~95% of children in charter schools — the highest of any US city.
- **Bill Gates** was ranked the **single most influential individual in US education policy** — **ahead of the Secretary of Education** (who, at the time, was herself a venture philanthropist).
- **Institution ≠ organization:** the Social Democratic *Party* is the organization; the rules and unwritten norms governing it are the *institutions* — the distinction the whole lecture turns on.